GENIUS Act Section 4(c) — Broad-Based Principles for State Similarity

Submitted by:	The Fintech Accord and the Stablecoin Institute
Website:	www.thefintechaccord.com
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Re:	GENIUS Act Broad-Based Principles for Determining Whether a State-level Regulatory Regime Is Substantially Similar to the Federal Regulatory Framework (12 CFR Parts 1520–1521)
Filed via:	www.regulations.gov
Captioned:	"GENIUS Act State Similarity"

Introduction

The Fintech Accord, and its dedicated subsidiary, the Stablecoin Institute, respectfully submits these comments on the Department of the Treasury's Notice of Proposed Rulemaking implementing section 4(c) of the GENIUS Act. Section 4(c)(2) tasks Treasury with establishing broad-based principles for determining when a State-level regulatory regime is substantially similar to the Federal regulatory framework. That determination is the gateway through which state-chartered payment stablecoin issuers access the dual-pathway structure Congress created — making this rulemaking foundational to the functioning of the state pathway as intended.

The Fintech Accord is a national organization working to establish a gold standard for safety, soundness, and regulatory clarity in the digital asset industry. Through an active partnership with the Georgia Department of Banking and Finance, the Fintech Accord and the Stablecoin Institute are collaboratively developing the Georgia Stablecoin Charter — a state-federal interoperability model designed to ensure consumer protection standards are consistent across jurisdictions while preserving the regulatory flexibility that makes state-level innovation valuable to the broader U.S. supervisory system. Georgia's payment stablecoin law, enacted in May 2026 in alignment with the GENIUS Act, provides a concrete, real-world example of the kind of state regime this NPRM is designed to evaluate.

These comments address four priority issues for which targeted clarification or revision of the proposed rule would meaningfully improve its durability, fairness, and effectiveness. Each issue directly affects whether states can build certifiable regulatory regimes with confidence, and whether the state pathway created by Congress serves its intended purpose.

> **Organizing Principle:** *Substantial similarity should be measured by whether a state regime achieves equivalent or superior prudential and consumer-protection outcomes — not by whether it replicates Federal forms, procedures, or language.*

Issue 1: Temporal Scope — Grandfathering and Transition Rules

Responding to Question 16; Proposed §§ 1521.1(c) and 1521.2(b)

The Issue

Treasury asks whether substantial similarity should be measured against the Federal regulatory framework as it exists at the time of rule finalization, at the time of each state's certification, or at some other point. Treasury also acknowledges that changes to OCC regulations — which serve as the primary baseline for the Federal regulatory framework — may affect how a state's certification is assessed after the fact.

Our Concern

The concern is not with the Federal framework evolving. Regulatory evolution is appropriate and expected. The concern is with what happens to a state that has been certified under one version of the Federal framework when that framework materially changes. Under the proposed rule as written, the absence of a clear grandfathering and transition rule creates genuine legal uncertainty for states and for the issuers operating under their supervision.

A state that has invested substantial legislative, regulatory, and institutional resources in building a certifiable regime — and whose issuers have structured their compliance programs, capitalization, and operations accordingly — should not face sudden non-compliance status without adequate notice and time to adapt. That uncertainty would chill state investment in stablecoin supervision, undermine the dual-pathway structure Congress established, and place state-chartered issuers at a structural disadvantage relative to federally regulated counterparts who operate under the updated framework automatically.

POSITION & ASK — THE FINTECH ACCORD AND THE STABLECOIN INSTITUTE

The Fintech Accord and the Stablecoin Institute **call on the** Treasury to include an explicit grandfathering and transition rule in the final regulation. If the Federal regulatory framework materially changes after a state has been certified, that state should retain its certification status for a minimum of **24 months** from the date of Federal Register publication — sufficient time to make conforming amendments through its own legislative or regulatory process. Treasury should also define what constitutes a "material change," distinguishing between changes to core prudential standards and procedural or interpretive refinements. Without this protection, the state pathway will remain structurally fragile and inconsistent with the cooperative federalism structure the GENIUS Act was designed to create.

Issue 2: Reserve Asset Flexibility — Permitting Multi-Regulator Approvals

Responding to Proposed § 1521.4(a); Questions 27–30

The Issue

Treasury proposes that a State-level regulatory regime may allow reserve assets beyond those listed in section 4(a)(1)(A) of the Act only if those assets have been approved by the OCC as "similarly liquid Federal Government-issued assets." Treasury also asks whether states should be permitted to rely on approvals by other primary Federal payment stablecoin regulators.

Our Concern

As currently proposed, states would be fully dependent on OCC action before they could recognize any additional reserve asset — including assets that other primary Federal payment stablecoin regulators, such as the Federal Reserve or the FDIC, have independently evaluated and approved. This creates a structural bottleneck that concentrates an important gatekeeping function in a single Federal agency, limits states' ability to respond to market and technological developments in reserve asset composition, and narrows the room for state-level innovation even where that innovation does not weaken safety or soundness.

This concern is especially acute with respect to tokenized forms of permitted reserve assets. A rule requiring OCC-exclusive approval before a state can recognize a tokenized form of an otherwise permissible asset would subordinate technological modernization to a single agency's rulemaking calendar — creating delays, competitive disadvantages for state-chartered issuers, and a structural preference for legacy asset forms that does not serve investors, consumers, or market integrity.

POSITION & ASK — THE FINTECH ACCORD AND THE STABLECOIN INSTITUTE

The Fintech Accord and the Stablecoin Institute **call on** Treasury to broaden the reserve asset approval pathway so that states may rely on approvals issued by **any primary Federal payment stablecoin regulator** — not exclusively the OCC. At a minimum, Treasury should confirm that assets the OCC has approved automatically satisfy the state standard, eliminating the need for parallel re-approval of assets already evaluated at the Federal level. Treasury should also confirm that **tokenized forms of otherwise permissible reserve assets** remain permissible under certifiable state regimes, provided those forms comply with applicable law and do not increase the liquidity, credit, or concentration risk of the reserve portfolio. Concentrating approval authority exclusively in the OCC is inconsistent with the multi-regulator structure Congress established and would unnecessarily constrain state flexibility without improving safety or soundness outcomes.

Issue 3: Timely Redemption — Preserving State Implementation Flexibility

Responding to Proposed § 1521.4(b)(1); Questions 31–32

The Issue

Treasury proposes that a State-level regulatory regime may set discretionary limitations on timely redemption if properly disclosed and consistent with section 7 of the Act. Treasury also

asks whether states should be required to incorporate the OCC's proposed interpretation of timely redemption and the same specific disclosure requirements.

Our Concern

The Fintech Accord does not object to a clear, enforceable Federal floor for timely redemption. Timely redemption is a core consumer protection, and a uniform minimum standard across the Federal and state pathways is appropriate. The concern is narrower: whether states must reproduce the OCC's particular interpretive and operational language in their own statutory or regulatory text, or whether states may implement an equivalent standard through their own rules and enforceable guidance.

Requiring textual replication of OCC language in state statute would significantly constrain state legislative flexibility and create perpetual amendment cycles each time the OCC refines its interpretive guidance. It would disadvantage states — including Georgia — that have developed their own redemption frameworks through careful legislative deliberation, even where those frameworks achieve equivalent or superior consumer protection outcomes through different structural means.

POSITION & ASK — THE FINTECH ACCORD AND THE STABLECOIN INSTITUTE

The Fintech Accord and the Stablecoin Institute **support** a clear, uniform Federal floor for timely redemption as a non-negotiable consumer protection standard, and **call on** Treasury to confirm that states may implement that floor through their own statutes, regulations, or enforceable guidance — without being required to replicate the OCC's specific language, structure, or disclosure format — provided the state standard is **no less stringent** than the Federal floor. The test should be outcome-based: does the state's redemption regime ensure holders receive their proceeds within a timeframe and under conditions at least as favorable as the Federal standard? If yes, the state approach satisfies substantial similarity regardless of how it is expressed.

Issue 4: Additive State Requirements and the Scope of "Substantial Similarity"

Responding to Proposed § 1521.6; Questions 70–73

The Issue

Treasury proposes that states may impose additional restrictions or requirements on state-qualified payment stablecoin issuers, provided those requirements do not conflict with the GENIUS Act, part 1521, or other applicable Federal law, and do not modify the State-level regulatory regime such that it can no longer be reasonably viewed as substantially similar to the Federal regulatory framework.

Our Concern

The proposed language is appropriate in principle but creates a significant ambiguity in application that, if left unresolved, could effectively nullify the state pathway's value. As currently drafted, the rule could be interpreted to mean that a state risks losing its substantial similarity certification whenever it adopts requirements that are stricter than, or structurally

different from, the Federal framework — even if those requirements enhance consumer protection, strengthen prudential oversight, or reflect legitimate jurisdiction-specific conditions that do not weaken Federal outcomes in any respect.

If "substantially similar" is applied as a near-identity test, states will face a structural dilemma: adopt only what the Federal framework requires and nothing more, or risk decertification for exceeding it. That outcome contradicts the purpose of cooperative federalism, eliminates the regulatory diversity that allows the U.S. system to adapt and improve, and makes the state pathway functionally unattractive to states — like Georgia — that have already invested in building regimes that meet or exceed Federal standards.

POSITION & ASK — THE FINTECH ACCORD AND THE STABLECOIN INSTITUTE

The Fintech Accord and the Stablecoin Institute **call on** Treasury to confirm in the final rule that substantial similarity is an **outcomes-based standard** — not a structural identity test. Additive or stricter state requirements should not affect certification status when they: (1) do not conflict with the GENIUS Act or other applicable Federal law; (2) do not weaken the protections the Federal framework provides; and (3) do not interfere with Federal oversight or the Stablecoin Certification Review Committee's ability to assess the state regime. We **oppose** any interpretation of substantial similarity that functions as a ceiling on state regulatory ambition rather than a floor on state regulatory adequacy. That reading would be inconsistent with the GENIUS Act's text, harmful to state innovation, and corrosive to the cooperative federalism architecture Congress deliberately established.

Conclusion and Overall Position

The Fintech Accord and the Stablecoin Institute support the Treasury's effort to implement section 4(c) of the GENIUS Act and to provide states with meaningful, predictable principles for building certifiable regulatory regimes. The proposed rule reflects a genuine commitment to balancing Federal coherence with state flexibility, and the proposed uniform/state-calibrated distinction is a sound structural foundation.

The four issues addressed in this letter are each foundational to whether that foundation holds in practice. Resolved well, they would give states the confidence to invest in high-quality stablecoin supervision, reward jurisdictions that have already committed to building rigorous regimes, and establish the United States as a credible and durable model for state-federal regulatory cooperation in digital finance in the US and internationally. Resolved poorly — or left ambiguous — they would discourage state investment, disadvantage responsible state-chartered issuers, and gradually reduce the state pathway to a nominal option that few states find worth pursuing.

The ask across all four issues is consistent: measure states by what their regimes achieve for consumers and the financial system, not by how closely their statutes and rules resemble Federal text. That is the standard that serves the GENIUS Act's purposes, reflects sound regulatory design, and makes the U.S. stablecoin framework genuinely worthy of global reference.

The Fintech Accord and the Stablecoin Institute stand ready to engage further with Treasury and to contribute the practical experience of our members and our ongoing partnership with the Georgia Department of Banking and Finance as the final rule is developed and implemented.

Respectfully submitted,

The Fintech Accord and the Stablecoin Institute

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On behalf of all members of The Fintech Accord and the Stablecoin Institute

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Comments submitted pursuant to the Notice of Proposed Rulemaking published by the Department of the Treasury implementing section 4(c) of the GENIUS Act. Captioned: "GENIUS Act State Similarity." Filed via www.regulations.gov.